

pension payments and the like grow more slowly than actual price increases. Bond investors are conned into accepting lower coupon payments. And “real” (inflation-adjusted) GDP growth is systematically overstated.

Now, let’s say inflation is 5 percent, instead of 3 percent. Divide 70 by 5 to get the doubling time, and we’re down to 14 years. Just 14 years for a stack of cash to lose half of its purchasing power! This is why many people view inflation as a “stealth tax”: It’s just as dangerous to your wealth.

Some say that inflation is already running way above this level, most notably John Williams, author of the website shadowstats.com. He calculates a current rate of around 7 percent per year. This would mean prices would double in just 10 years if the rate stays the same.

So holding cash is a losing proposition in the long run. This is why we recommend you hold cash only as “short-term parking.”

Compounding Is Not Always a Good Thing . . .

Of course, exponential growth can work against you too. Here are some more “doubling times” at *current* rates of growth:

1. **World Population:** The amount of people drawing air on planet Earth grows 1.1 percent per year. The doubling time is under 64 years. At this rate, this means the planet will add 7 billion in two generations.

2. **World Energy Use:** Energy use across all sources grew 2.2 percent per year since 1985, measured using millions of tons of oil equivalent. At that rate, it will double again in less than 32 years—or about one generation.

This increase in demand is happening at the same time as reserves are depleting and new energy is becoming harder to extract. It’s not the cost that matters most, but how much energy is required to produce new energy. If it takes a barrel of oil to make a barrel of oil, it’s game over for oil production.

3. **Social Security Claims:** The number of retired Americans on Social Security rose 4.4 percent per year between 1999 and 2009. At that rate, the doubling time is just under 16 years. This refers to numbers of claimants, not dollar amounts. (The dollar amount grows faster due to inflation adjustments. It also doubles faster.)

Since 2007, the rate of claimant growth has accelerated. By comparison, the U.S. population is growing at just under 1 percent per year. At current benefit and tax levels, even the U.S. Social Security Administration expects payments to be greater than new contributions from 2014 onward. This means the money will run out by 2037. I’d be willing to bet that the reality is worse.

4. **U.S. Federal Debt:** This grew at about 9.1 percent in 2011. At that rate, it will double in less than eight years. This illustrates the urgency of controlling the U.S. budget deficit. And the fatal math applies to most other countries in the developed world.

Of course, these growth rates could change. If food supplies don’t grow fast enough, many people will starve. And population growth will fall. New higher energy prices could reduce the growth rate of energy usage—and even send it into reverse. And it’s not impossible (although from our perspective, it is highly unlikely) that the United